

Economics Test -12

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Q1. Depreciation is an annual allowance for the wear and tear of _____.

- A. finished goods
- B. capital goods**
- C. work in progress
- D. land

Solution: Depreciation is an annual decrease in the price of a capital good over a year due to wear and tear and some other reasons.

Q2. Public goods possess which of the following features in the economy? I. They are non-rivalrous. II. They are non-excludable.

- A. Only II
- B. Only I
- C. Neither I nor II
- D. Both I and II**

Solution: Both I and II. Public goods are commodities or services that benefit all members of society and which are often provided for free through public taxation. It has two features : Non Rivalrous – One person uses goods and it does not prevent others from using it. Non Excludable – Individual or group of individuals can not be prevented from using them. Private Goods – Inherently scarce and are paid for separately by individuals.

Q3. In which Five-Year Plan, was the Mahalanobis Model started?

- A. Second**
- B. Fourth
- C. Third
- D. First

Solution: Second Five Year Plan (1956–61): drafted and planned under the leadership of P.C Mahalanobis , stressed rapid industrialisation and the public sector, emphasized quick structural transformation, The government imposed tariffs on imports to protect domestic industries under this plan, The target growth rate was 4.5% and the actual growth rate was 4.27%. First Five-Year Plan (1951–56), Third Five Year Plan (1961–66), Fourth Five-Year Plan: (1969–74).

Q4. The poverty ratio has declined to _____ in 2011-12 in rural India.

- A. 20.9 percent
- B. 30.9 percent**
- C. 25.9 percent
- D. 35.9 percent

Solution: The poverty ratio has declined from 39.6% in 2009–10 to 30.9% in 2011–12 in rural India and from 35.1% to 26.4% in urban India. The proportion of the population below the poverty line is called the poverty ratio or headcount ratio (HCR). Committees related to poverty : VM Dandekar and N Rath (1971), Alagh Committee (1979), Lakdawala Committee (1993), Tendulkar Committee (2009), C Rangarajan

Committee (2012).

Q5. Joint Liability Group is usually an informal group that consists of _____ individuals who seek loans against mutual guarantee.

- A. 1–3
- B. 15 –20
- C. 4–10**
- D. 20–30

Solution: Joint Liability Group (JLG) is an informal group comprising preferably of 4 to 10 individuals for the purposes of availing bank loans either individually or through the group mechanism against mutual guarantee. The loans are usually taken for agricultural purposes or associated activities. JLG is a credit oriented group whereas Self help group is a savings oriented group.

Q6. Aid or auxiliary to trade includes which of the following?

- A. Production
- B. Selling
- C. Buying
- D. Warehousing**

Solution: Warehousing. Auxiliaries to trade are essential services and functions that assist the business which include transport, banking, warehousing, insurance, advertising etc. Five distinct examples of economic activities are producing, supplying, buying, selling, and the consumption of goods and services.

Q7. Which of the following is NOT a capital expenditure?

- A. Loans and advances by the central government
- B. Expenditure on the acquisition of land
- C. Investment in shares
- D. Subsidies payment**

Solution: Subsidies payments . Capital expenditures are one-time large purchases of fixed assets that will be used for revenue generation over a longer period. Examples – plant, plot, equipment, furniture, fixtures, patent, license or trademark, etc. Revenue expenditures are short-term expenses that are used in running the daily business operations. Examples – rent, salaries, wages, commission, freight charges, etc.

Q8. What is a dimension related to the sustainability of microfinance institutions in India?

- A. Dependency on donor funding**
- B. Limited social impact
- C. High-profit margins
- D. Excessive interest rates

Solution: Dependency on donor funding . Microfinance institutions provide small loans to people who do not have access to traditional banking services. It is regulated by the Reserve Bank of India. Microfinance Institutions in India – Self Help Group (SHG); Joint Liability Group (JLG) and Grameen

Model Bank.

Q9. In India, Micro Finance Institutions primarily target which segment of the population?

- A. Non-resident Indians (NRIs)
- B. Large corporations
- C. Low-income individuals and small businesses**
- D. High-income individuals

Solution: Low-income individuals and small businesses. Microfinance institutions (MFIs) are financial companies that provide small loans to people who do not have any access to banking facilities. In India, all loans that are below Rs.1 lakh can be considered as microloans. Other institutions that offer microfinance - Credit unions, Non-governmental organizations, Commercial banks.

Q10. Which of the following is referred to as 'paper taxes'? I. Wealth tax II. Gift tax

- A. Only II
- B. Only I
- C. Both I and II**
- D. Neither I nor II

Solution: Both I and II. Paper tax - It is simply a form where taxpayers declare their taxable income, deductions, and tax payments. Wealth tax and gift tax are referred to as "paper taxes". This is because they are taxes that are levied on the possession of wealth or the transfer of wealth, but they do not generate much revenue.

Q11. 12. Which of the following is the INCORRECT sequence of national income from broader to narrower concepts?

- A. GNP at market prices - NNP at factor cost- NNP at market prices - GNP at factor cost**
- B. GNP at market prices - NNP at market prices - NNP at factor cost- Personal income
- C. NNP at factor cost - Personal income - Personal disposable income
- D. GNP at factor cost- NNP at factor cost- Personal income - Personal disposable income

Solution: Gross Domestic Product (GDP): The Market value of all final goods and services produced within a domestic territory of a country measured in a year. GNP: The economic output produced by a nation's normal residents (whether they are located within the nation's boundary or abroad). NDP: The market value of all final services and goods produced within a country in a given period of time, minus depreciation. Depreciation: Wear and tear on capital equipment and buildings.

Q12. The UMEED Scheme of _____ Rural Livelihoods Mission is providing help to the aspirations of rural women in the Union Territory, who aspire to become economically independent.

- A. Daman and Diu
- B. Lakshadweep
- C. Andaman and Nicobar Islands
- D. Jammu and Kashmir**

Solution: Jammu and Kashmir. UMEED Scheme - Launched in 2018 and was sponsored by the central government under the

Jammu Kashmir State Rural Livelihood Mission (JKSRLM). Aim - To encourage women to be self dependent and self sufficient. UMMID (Unique Methods of Management of Inherited Disorders) Scheme: An initiative of the Department of Biotechnology, launched - on 23rd September 2019 by the Ministry of Science & Technology. Aim - To provide genetic testing and counselling services to pregnant women to prevent inherited disorders in newborns.

Q13. Private ownership of the means of production is a feature of a _____ economy.

- A. capitalist**
- B. socialist
- C. mixed
- D. dual

Solution: Capitalism is an economic system based on private ownership. In this type of system private firms are the key players, they actually focus on their profit and the quality of service provided by them is also better.

Q14. _____ unemployment occurs with changes in economic activity over the business cycle

- A. Frictional
- B. Cyclical**
- C. Structural
- D. Technological

Solution: Cyclical. An example of cyclical unemployment is a health care worker who loses his job because of layoffs during a recession. Frictional unemployment (short-term unemployment), it happens when a person is voluntarily job searching or searching for a new career. Structural unemployment refers to a mismatch between the jobs available and the skill levels of the unemployed. Technological unemployment results from the introduction of new technology into the economy.

Q15. Which of the following Acts was amended to provide a statutory basis for the implementation of the flexible inflation targeting (FIT) framework ?

- A. Deposit Insurance and Credit Guarantee Corporation Act, 1961
- B. Banking Regulation Act, 1949
- C. Reserve Bank of India (RBI) Act, 1934**
- D. The Industrial Finance Corporation of India Act, 1948

Solution: Reserve Bank of India (RBI) Act, 1934, In May 2016, The Reserve Bank of India Act of 1934 was amended to provide a legal basis for the execution of the flexible inflation targeting agenda. The edited RBI Act also provides for the inflation target to be set by the Indian Government, after discussing with the Reserve Bank, once in every five years.

Q16. 10. Supply of Money is the quantity of money _____.

- A. during the calendar year
- B. as on any point of time
- C. during the fiscal year
- D. during any specified period of time**

Solution: 10.(d) During any specified Period of time. Measures of Money Supply : $M1 = C$ (currency) + DD (demand deposits). $M2 = M1 +$ Savings deposits with Post office savings banks. $M3$

= M1 + Net Time-deposits of commercial banks. M4 = M3 + Total deposits with Post Office savings organizations (excluding National Savings Certificates). M1 and M2 - Narrow Money. M3 and M4 - Broad Money. M1 - Most liquid, M4 - least liquid.

Q17. The Industrial Policy Resolution 1956, classified industries into how many categories?

- A. 3
- B. 5
- C. 6
- D. 4

Solution: The Industrial Policy Resolution 1956, classified industries into three categories. The first category consisted of industries which could be established and developed exclusively as public sector enterprises. The second category could be set up as both public sector and private sector enterprises, with the private sector being given a secondary role. The third category consisted of all industries other than those specified in the above categories.

Q18. Rural Employment Generation Programme (REGP) was launched in _____.

- A. 1997
- B. 1991
- C. 1993
- D. 1995

Solution: 1995. The Khadi & Village Industries Commission (KVIC) launched the Rural Employment Generation Programme (REGP) on 1st April, 1995 for generation of two million jobs under the KVI sector in the rural areas of the country. Ministry - Ministry of MSME (Micro Small Medium Enterprises).

Q19. Merchant discount rate refers to _____.

- A. only taxes that a digital payment entails
- B. the total discount a merchant offers on online transactions
- C. the rate charged to a merchant for payment processing services on debit and credit card transactions.
- D. the total discount a bank offers to the merchant for promoting online transactions.

Solution: The merchant discount rate is the rate charged to a merchant for payment processing services on debit and credit card transactions. MDR is capped at 0.9 % for transactions, except for Rupay debit card transactions which attracts zero MDR.

Q20. The rate at which the Reserve Bank of India lends to other commercial banks for short term has been reduced. What is this rate called?

- A. Cash Reserve Rate
- B. Reverse Repo Rate
- C. Bank Rate
- D. Repo Rate

Solution: Repo Rate. Cash Reserve Ratio (CRR) - The minimum percentage of total deposits that a commercial bank is required to retain as cash reserves with the RBI. Reverse Repo Rate - The rate at which the central bank of a country borrows money from commercial banks within the country. Bank rate -

The interest rate charged by a central bank to commercial banks.

Q21. In _____ economies, all productive resources are owned and controlled by the government.

- A. dual
- B. capitalist
- C. mixed
- D. socialist

Solution: A socialist economy is a system of production where goods and services are produced directly for use. In this type of economy there is less or no competition as the state is the only entrepreneur.

Q22. An annual allowance for wear and tear of a capital goods is known as _____.

- A. gross investment
- B. devaluation
- C. depreciation
- D. disinvestment

Solution: Depreciation. The monetary value of an asset decreases over time due to use, wear and tear or obsolescence. This decrease is measured as depreciation. Example - Machinery, equipment, currency. Appreciation - Increase in the value of an asset over a period of time. Devaluation - Process of reducing the value of currency. Disinvestment - Sale of government stake in public sector enterprises to private sector.

Q23. Which of the following is a public sector industry

- A. BHEL
- B. Dabur Industry
- C. Bajaj Auto
- D. TISCO

Solution: BHEL. Bharat Heavy Electricals Limited is India's largest government-owned power generation equipment manufacturer, under the Ministry of Heavy Industries' administrative control. Founded: 13 November 1964, Headquarters: New Delhi. Tata Iron and Steel Company (TISCO) was founded by Jamsetji Nusserwanji Tata and established by Sir Dorabji Tata on 26 August 1907.

Q24. The minimum rate below which banks are not allowed to lend money except in cases specified by the Reserve Bank of India is called _____.

- A. repo rate
- B. reverse repo rate
- C. cash rate
- D. base rate

Solution: Base rate. Repo rate - The rate at which the RBI lends funds to banks. Reverse repo rate - The rate at which the Reserve Bank of India (RBI) borrows money from banks for the short term. Cash Reserve Ratio (CRR) - The share of a bank's total deposit to be maintained with the latter in the form of liquid cash.

Q25. Which of the following is an example of capital receipt in the government budget?

- A. Sale of government bonds

- B. Income from government-owned enterprises
- C. Tax revenue collected from citizens
- D. Grants received from foreign countries

Solution: Sale of government bonds. Capital Receipts are loans raised from the public (market loans), borrowings from the Reserve Bank and other parties through the sale of Treasury bills, loans received from foreign bodies and governments, and recoveries of loans granted by the Central government. Capital Receipts are long term receipts. Revenue Receipts are short term receipts and money received for a short period.

Q26. Which of these statements is true?

A. Under competitive asset market conditions, the price of a bond must always be equal to its present value in equilibrium.

- B. Under competitive asset market conditions, the price of a bond must be less than its present value to benefit the seller
- C. Under competitive asset market conditions, the price of a bond must exceed its present value to benefit the buyer.
- D. Under competitive asset market conditions, the present value must exceed the price of a bond to benefit the seller.

Solution: Market prices are influenced by demand and supply interactions, with equilibrium price balancing factors. Changes occur when demand or supply shifts. The five factors that affect the market equilibrium are excess demand, excess supply, changes in demand and supply, competitive factors, and strategic factors.

Q27. Which of these Institutions fixes the repo rate and reverse repo rate in India ?

- A. Comptroller and Auditor General of India (CAG)
- B. Ministry of Finance
- C. State Bank of India
- D. Reserve Bank of India**

Solution: Reserve Bank of India decides repo rate and reverse repo rate to control liquidity and inflation in the economy. The monetary policies are regulated by the Reserve bank of India.

Q28. Which of the following is included in the M1 measure of money supply? A) Currency with Public B) Time Deposit with Post Office C) Demand Deposits with Commercial Banks/RBI of Public Financial Institutions

- A. Both B and C
- B. Both A and C**
- C. Only B
- D. Only A

Solution: Both A and C. $M1 = \text{Currency with public} + \text{Demand deposits with the Banking system (current account, saving account)} + \text{Other deposits with RBI}$. Other measures of Money Supply: $M2 = M1 + \text{deposits made as savings deposits in Post office savings banks}$. $M3 = M1 + \text{Net Time-deposits included in banks}$. $M4 = M3 + \text{Deposits made with Post-office savings institute}$.

Q29. Name the committee formed for the Village and Small-scale Industries in 1955?

- A. Rangarajan Committee
- B. Basel Committee
- C. Karve Committee**

D. Narasimhan Committee

Solution: Karve Committee (1955) - growth and development of the village and small-scale industries and rural development. Rangarajan Committee (2014) - to review the Poverty Measurement Methodology. Basel Committee (1974) - to enhance financial stability by improving the quality of banking supervision worldwide. Narasimham Committee (1991, 1998) - to analyze India's banking sector.

Q30. Formula to find the unemployment rate is _____.

- A. $(\text{Unemployed male workers} / \text{Total labour force}) \times 1000$
- B. $(\text{Unemployed workers} / \text{Total labour force}) \times 100$**
- C. $(\text{Employed workers} / \text{Total labour force}) \times 100$
- D. $(\text{Employed workers} / \text{Male labour force}) \times 100$

Solution: $(\text{Unemployed workers} / \text{Total labour force}) \times 100$. Unemployment rate - That share of people who are without any job. Statistics on unemployment in India had traditionally been collected, compiled and disseminated once every ten years by the Ministry of Labour and Employment (MLE). According to the Centre for Monitoring Indian Economy (CMIE), the Unemployment rate in India among people aged 15 years and above fell to 7.7 percent in May 2023, from 8.5 percent in the previous month.

Q31. Which of the following statements is/are correct with respect to income or output? i. Income or output are flows. ii. Income or output are stocks. iii. Income or output can be defined over a period.

- A. Only i and iii**
- B. Only ii and iii
- C. Only i
- D. Only i and ii

Solution: Only I and III. Flow (dynamic in nature) - It changes and can be measured over a period of time. Example: Income, interest on capital etc. Stocks (static in nature) - The quantity of a variable measured at a particular point of time. Example: Wealth, population, capital etc.

Q32. Rural Backyard Piggy Scheme was launched by which state government?

- A. Meghalaya**
- B. Jharkhand
- C. Punjab
- D. Assam

Solution: Meghalaya. The Scheme is aimed to ensure the farmers earn a sustainable livelihood through different livestock farming activities. Launched on - 10th August 2022. Under this scheme 4 pigs (3 female and 1 male piglets) will be distributed to the farmers to promote pig breeding to provide regular income to the farmers. This livestock package is Rs 25,000 per beneficiary. National Livestock Mission - An initiative of the Ministry of Agriculture and Farmers Welfare launched in 2014-15.

Q33. Which country first introduced zero-based budgeting?

- A. India
- B. Germany
- C. The US**
- D. The UK

Solution: The US . Zero based budgeting (ZBB): A method of budgeting in which all expenses are evaluated each time a Budget is made and expenses must be justified for each new period. It was introduced by Peter Pyhrr in 1970's. In India, the ZBB was introduced in the department of science and technology in 1983, and adopted by the Indian Government in 1986. It was promoted during the Seventh Five-Year Plan. In India, Maharashtra is the first state to implement Zero-based budgeting.

Q34. What is a fiscal year?

A. A year that represents the financial reporting period for the government

- B. A year with a surplus in government revenue
- C. A year with a deficit in government revenue
- D. A year in which tax rates are increased

Solution: In India, the fiscal year starts on the 1st of April and ends on the 31st of March. Assessment Year is the year that comes after the Financial Year (FY). This is the time in which the income earned during FY is assessed and taxed. Base year - The year which is used to calculate the real Gross Domestic Product (GDP).

Q35. Under which Amendment to the Constitution of India was Goods and Services Tax imposed ?

A. 101 st

- B. 99 th
- C. 103 rd
- D. 97 th

Solution: 101 st , The Constitution (One Hundred and First Amendment) Act, 2016 , introduced the Goods and Services Tax (GST) in India which came into effect from 1 July 2017 . It replaces all indirect taxes levied on goods and services by the Central and state governments with a single nation wide tax.

Q36. Which of the following is NOT a characteristic of money?

- A. Portability
- B. Perishability**
- C. Divisibility
- D. Durability

Solution: Perishability - A characteristic of products and services that do not allow for the product or service to be stored for sale at a future date. Money - Any object that is generally accepted as payment for goods and services and repayment of debts in a given country or socio-economic context. Other Characteristics of money - Uniformity, Fungibility, Limited supply, Acceptability.

Q37. Who chairs the Monetary Policy Committee in India?

- A. Union Finance minister
- B. Deputy Governor, Reserve Bank of India
- C. Comptroller and Auditor General of India
- D. Governor, Reserve Bank of India**

Solution: Governor, Reserve Bank of India. The Monetary Policy Committee (MPC) is a statutory body constituted as per Section 452B under the RBI Act of 1934 by the Central Government. Its main objectives: Surging economic growth and meeting the demands of inflation. It consists: - RBI Governor as its ex officio chairperson, Deputy Governor in

charge of monetary policy, member ex officio, An officer of the Bank nominated by the Central Board as member ex officio, Three persons are appointed by the central government.

Q38. 13. Which of the following is an advantage of foreign competition?

- A. No requirement to develop new products
- B. Incentive to produce efficiently**
- C. Expansion of foreign market
- D. Saving of foreign exchange reserves

Solution: Incentive to produce efficiently. Other Advantages of Foreign Competition: Lower prices, Increased efficiency, Increased consumer choice, Increased trade, Increased innovation. Disadvantages: Job losses, Decreasing profit margins, Loss of market share, Dependency on foreign countries.

Q39. Money multiplier uses which of the following monetary instruments for its calculation?

- A. Repo rate
- B. Cash reserve ratio**
- C. Reverse repo rate
- D. Bank rate

Solution: Cash reserve ratio. Money multiplier - The amount of money created by commercial banks to a fixed amount of core money and reserve funds ratio. An increase in the cash reserve ratio prevents banks from lending more and lowers the money multiplier. Formula - $1 / \text{Reserve Ratio}$. Cash Reserve Ratio - The Cash reserve ratio is a certain percentage of cash that all banks have to keep with the RBI as a deposit .

Q40. What is capital expenditure?

- A. Amount spent on healthcare programs
- B. Amount spent on repaying the loan
- C. Amount spent on subsidies for farmers
- D. Amount spent on the development of infrastructure**

Solution: Capital Expenditure - Government's expenditure which results in creation of physical assets or reduction in financial liabilities. Examples: Expenditure on the acquisition of land, Building, Machinery, Equipment and Investment in shares. Revenue Expenditure: Expenses incurred for the normal functioning of the government departments, interest payments on debt incurred by the governments and other parties.

Q41. Name the two states in which land reform were successful?

- A. Uttar Pradesh and Bihar
- B. West Bengal and Kerala**
- C. Maharashtra and Tamil Nadu
- D. Karnataka and West Bengal

Solution: West Bengal and Kerala . The Kumarappan committee (1949) was appointed to look into the problem of land. Land Reforms consisted of four elements: The Abolition of the Intermediaries, Tenancy Reforms, Fixing Ceilings on Landholdings and Consolidation of Landholdings. Other Facts - Zamindari System (1793) by Lord Cornwallis. Mahalwari system (1833) was launched by Lord William Bentinck.

Q42. Which of the following professions is a type of seasonal unemployment?

- A. Doctors
- B. Information Technology professional
- C. Accountants
- D. Farmer**

Solution: Farmer. Seasonal unemployment occurs when the demand for labor or workforce is lower than normal due to various factors. Other types of unemployment : - Disguised - More people are employed than actually needed; Cyclical - It is a result of the business cycle, rises with recessions and declines with economic growth; Technological - It happened due to changes in technology; Frictional - Workers themselves quit their jobs in search of better opportunities.

Q43. What do you call the rate of formation of new organic matter by consumers?

- A. Tertiary productivity
- B. Primary productivity
- C. Net productivity
- D. Secondary productivity**

Solution: Secondary Productivity. In ecology, productivity is referred to as the energy accumulated in the plants by photosynthesis. Two types of productivity are : (a) Primary Productivity (refers to the generation of biomass from autotrophic organisms such as plants) can be divided into two aspects: Gross primary productivity and Net primary productivity (b) Secondary Productivity (accumulation of energy at the consumer's level).

Q44. What is a revenue expenditure?

- A. Money spent on day-to-day government operations**
- B. Money spent on debt repayment
- C. Money spent on purchasing assets
- D. Money spent on construction of roads

Solution: Revenue Expenditure : Those expenditure which does not result in the creation of assets is treated as revenue expenditure. These are expenditures for the normal running of government departments and various services, interest charges on debt incurred by the government, subsidies and so on. Capital expenditure : Government's expenditure which results in creation of physical assets or reduction in financial liabilities.

Q45. 11. GNP at MP less _____ gives us GDP at MP.

- A. depreciation
- B. indirect taxes
- C. net factor income from abroad**
- D. subsidies

Solution: Net factor income from abroad. GNP at MP: The value of all the final goods and services that are produced by the normal residents of India and is measured at the market prices. $GNP_{MP} = GDP_{MP} + \text{Net factor income from abroad}$. Gross domestic product (GDP) : The market value of all final goods and services produced within a domestic territory of a country measured in a year. GDP at Factor cost = C (Consumption expenditure) + I (Investment expenditure) + G (Government Spending) + X-M (Exports - imports, that is net exports). GDP at MP - GDP at Factor cost + Indirect Taxes - Subsidies.

Q46. Total deposits with Post Office savings organisations are included in which money supply aggregate?

- A. M1
- B. M3
- C. M4**
- D. M2

Solution: M4. M1, M2, M3, and M4 were the four monetary aggregates used by the RBI between 1977 and 1998 to calculate the money supply. Narrow Money (M1 and M2) (High level of liquidity). Broad Money (M3 and M4) (Lower liquidity level). M1 is the most liquid and makes transactions the easiest, while M4 is the least liquid.

Q47. Savings deposits with Post Office savings banks are included in which measure of money supply?

- A. M3
- B. M2**
- C. M4
- D. M1

Solution: M2. The Reserve Bank of India publishes figures for four alternative measures of the money supply M1, M2, M3 and M4. These are: M1: CU {currency (notes plus coins)} + DD {net demand deposits held by commercial banks} + Other deposits with the RBI. M2: M1 + Savings deposits with Post Office savings banks. M3: M1 + Net time deposits of commercial banks. M4: M3 + Total deposits with Post Office savings organizations (excluding National Savings Certificates).

Q48. A situation where the expenditure of the government exceeds its revenue is known as:

- A. Default
- B. Devaluation
- C. Deficit Financing**
- D. Morbidity

Solution: Deficit Financing, A situation where the expenditure of the government exceeds its revenue is known as Deficit financing. To make up with this deficit the government generally disinvest, borrowing of loans or minting of new currency.

Q49. John Maynard Keynes, best known for his economic theories (Keynesian theories), hailed from which country?

- A. Sweden
- B. Denmark
- C. Australia
- D. England**

Solution: John Maynard Keynes, belongs to England. He is also known as the Father of Macroeconomics.

Q50. What is a budget deficit?

- A. The excess of government revenue over expenditure
- B. The amount of money allocated for defence spending
- C. The amount of money allocated for social welfare programmes
- D. The excess of government expenditure over revenue**

Solution: Budget Deficit - When a government spends more than it collects by way of revenue, it incurs a budget deficit. Types of Budget Deficits : Revenue Deficit - The excess of

government's revenue expenditure over revenue receipt.
Revenue Deficit = Revenue expenditure - Revenue receipts.
Fiscal deficit = Total expenditures - Total receipts excluding borrowings. Primary Deficit = fiscal deficit - interest payments on previous borrowings.

Q51. What does the term 'interest' refer to in banking?

- A. The additional amount earned on a loan or deposit**
- B. The amount of money deposited into a bank account
- C. The value of a currency in relation to other currencies
- D. The fee charged for withdrawing money from an ATM

Solution: Banking Terminologies: Repo Rate : The interest rate at which a nation's central bank lends money to commercial banks often in the form of very short-term loans. Cash rate : The interest rate on unsecured overnight loans between banks. Reverse Repo Rate : The rate at which the central bank of a country borrows money from commercial banks.

Q52. What does GNP stand for ?

- A. Gramin Nisak Praman
- B. Gramin Nigam Parishad
- C. Gross National Product**
- D. Gross National Produce

Solution: Gross national product (GNP) is an estimate of the total market value of all goods and services produced in one year by labour and property supplied by the residents of a country.

Q53. Which of the following best defines transfer payments?

- A. Payments made to individuals in exchange for their labour or services
- B. Payments made by the government to individuals without any corresponding production of goods or services**
- C. Payments made by businesses to their shareholders as a share of profits
- D. Payments made by individuals to the government in the form of taxes

Solution: Transfer payments include social security benefits, state pension, unemployment benefits, civil service benefits, survivor benefits, public health services. Balance of Payment (BOP) is a statement that records all the monetary transactions made between residents of a country and the rest of the world during any given period. Example - Trade credit. There are two main accounts in the BOP: the current account and the capital account

Q54. Which of the following is an example of a non-debt capital receipt in the government budget ?

- A. Sale of government-owned land**
- B. Loans from international financial institutions
- C. Interest payment on government bonds
- D. Tax revenue collected from citizens

Solution: Non-debt capital receipts : Those money receipts which are received by the government from the sale of old assets. It refers to the incoming cash flows and not treated as liabilities of the government. Example: Recovery of loans and advances, disinvestment, and issue of bonus shares. Capital receipts : Those money receipts which creates a liability for the government. Example : Loans from the public, foreign

governments, and central banks.

Q55. Which of the following is the main advantage of the import substitution policy?

- A. It may make the indigenous industries more competitive.
- B. It will help the consumers by providing them with unlimited choices.
- C. It helps the nation achieve self-reliance.**
- D. It led to optimum allocation of resources.

Solution: Import substitution (inward looking trade strategy) - A trade and economic policy that advocates replacing foreign imports with domestic production. Advantages: It promotes the initiation and growth of local industries and creates new jobs. Self Reliance - the social and economic ability of an individual, a household or a community to meet essential needs (including protection, food, water, shelter, health and education) in a sustainable manner and with dignity.

Q56. The important milestones of the SHG Bank linkage movement was spearheaded by _____ with support from RBI.

- A. SEBI
- B. Indian Bank
- C. NABARD**
- D. Cooperative Bank

Solution: NABARD (National Bank for Agriculture and Rural Development) . It is the apex banking institution to provide finance for Agriculture and rural development. Established - 12 July 1982. Headquarters - Mumbai. The SHG-Bank Linkage Programme (SBLP) was initiated as an action research by the NABARD in 1989 and was subsequently crystallized into a pilot project in 1992.

Q57. Which of these expressions is correct?

- A. If the factor income from abroad is greater than the factor income paid abroad, then GNP would be greater than GDP.**
- B. If the factor income from abroad is greater than the factor income paid abroad, then GNP would be lower than GDP.
- C. If the factor income earned from abroad is less than the factor income paid abroad, then GNP would be greater than GDP.
- D. If the net factor income from abroad is negative, then GNP would be greater than GDP.

Solution: Gross domestic product (GDP) - The market value of all the final goods and services produced in a specific time period within the geographical boundaries of a nation. $GDP = \text{consumption} + \text{investment} + (\text{government spending}) + (\text{exports} - \text{imports})$, or, $GDP = C + I + G + (X - M)$. Gross national product (GNP): The value of all finished goods and services produced by a country's citizens, both domestically and abroad. $GNP = GDP + \text{Net factor income from abroad}$.

Q58. 14. Match List I with List II and choose your answer from the code below:

- A. i-d, ii-c, iii-b, iv-a
- B. i-c, ii-b, iii-a, iv-d
- C. i-d, ii-c, iii-a, iv-b**
- D. i-d, ii-a, iii-c, iv-b

Solution: i-d, ii-c, iii-a, iv-b. Tax revenue – The revenues collected from taxes on income and profits, social security contributions, taxes levied on goods and services, payroll taxes, taxes on the ownership and transfer of property, and other taxes. Capital receipts – To incoming cash flows (receipts) originating from the sale of fixed assets, shares, or debt. Non-Tax Revenue – The recurring income earned by the government from sources other than taxes. Expenditures – Expense that is incurred by your business as a result of producing its products and services.

Q59. Which of the following is a dimension of microfinance institutions (MFIs) in India?

- A. Outreach to rural areas
- B. Loan interest rates
- C. Investment in the stock market
- D. Availability of credit cards

Solution: Outreach to rural areas . MFIs – Provide small loans to people who do not have any access to banking facilities. Micro Finance refers to provision of thrift, credit, and other financial services and products of very small amounts to the poor in rural, semi urban or urban areas. Types of institutions offering microfinance in India: Commercial banks, Credit unions, Non-governmental Organizations (NGOs).

Q60. Which of the following is NOT a nationalized bank?

- A. United Bank of India
- B. State Bank of India
- C. Punjab National Bank
- D. Punjab and Sind Bank

Solution: State Bank of India (SBI) was already under the control of the government (with 60 % share) hence there was no need to nationalize it. It is a public sector bank.

Q61. If the inflation in an economy is rising steadily, the Central Bank might _____.

- A. keep the repo rate unchanged
- B. decrease the repo rate
- C. decrease the reverse repo rate
- D. increase the repo rate

Solution: If inflation in an economy is rising steadily then the central bank might increase the repo rate. An increased repo rate acts as a disincentive for banks to borrow from the RBI. Reduced money supply in the economy helps control inflation.

Q62. Which of the following is used to measure the total output of goods and services in an economy including depreciation during a specific period within country ?

- A. Net Domestic Product (NDP)
- B. Gross National Product (GNP)
- C. Net National Product (NNP)
- D. Gross Domestic Product (GDP)

Solution: Gross Domestic Product (GDP). Net Domestic Product (NDP) – Measures the total value of all goods and services produced in a country, adjusted for the depreciation of physical capital. Formula : $NDP = GDP - \text{Depreciation}$. Gross national product (GNP) – Gross national product (GNP) refers to the total value of all the goods and services produced by

the residents and businesses of a country, irrespective of the location of production. Formula : $GNP = GDP + NR$ (Net income inflow from assets abroad or Net Income Receipts) – NP (Net payment outflow to foreign assets). Net national product (NNP) – Net national product refers to gross national product, i.e. the total market value of all final goods and services produced by the factors of production of a country or other polity during a given time period, minus depreciation. Formula : $NNP = GNP - \text{Depreciation}$.

Q63. Which of the following organizations of the Government of India has been reporting the GDP at factor cost and at market prices?

- A. Reserve Bank of India
- B. National Sample Survey Organisation
- C. National Statistics Office
- D. NITI Aayog

Solution: National Statistical Office . The National Sample Survey Office (NSSO , founded in 1950) is merged with the Central Statistical Office (CSO, founded in 1951) under the Ministry of Statistics and Programme Implementation to form the National Statistical Office (NSO) in 2019 .

Q64. Indicative planning was adopted in India during the _____ Five-Year Plan.

- A. Sixth
- B. Fifth
- C. Eighth
- D. Fourth

Solution: Eighth Five Year Plan (1992-1997) : Objective – To increase economic performance. Work – Indicative Planning (1st attempted in France). The First Five year Plan (1951-56) was introduced by Jawaharlal Nehru. Five year plan concept was taken from the USSR or the Soviet Union (modern-day Russia).

Q65. Treasury bills are issued by the _____ .

- A. Securities and Exchange Board of India
- B. Government of India
- C. Reserve Bank of India
- D. Insurance Regulatory Authority of India

Solution: Government of India. Treasury bills are short-term debt instruments issued by the government to raise money. They are typically issued with maturities of 91 days, 182 days, and 364 days. Securities and Exchange Board of India (SEBI) is the regulator of the securities market in India. The Insurance Regulatory and Development Authority of India (IRDAI) is the regulator of the insurance sector in India.

Q66. The aggregate value of goods and services produced in an economy can be calculated by three methods: income method, expenditure method and _____ method.

- A. spending
- B. product / value added
- C. deposit
- D. lending

Solution: product / value added , The value-added method of calculating national income focuses on the value added to a product at each stage of production.

Q67. The news print sector in our country is governed by which order from the following?

- A. National Print Control Order, 2001
- B. Newsprint Control Order, 2004**
- C. News Print Commission Order, 2006
- D. National Press Control Order, 2003

Solution: Newsprint Control Order 2004 provides for registration of the mills manufacturing newsprints under the Schedule – I. First newsprint paper mill in India and Asia (1955, NEPA limited, Madhya Pradesh). NEPA stands for National Newsprint and Paper Mills. NEPA became a Central Government Company in 1959. Media constitutes the 4th pillar of democracy, the other 3 are the Legislature, Executive, and Judiciary.

Q68. Which of the following is an example of joint sector industry?

- A. Steel Authority of India Limited
- B. Hindustan Aeronautics Limited
- C. Maruti Udyog Limited**
- D. Anand Milk Union Limited

Solution: Maruti Udyog Limited. The Joint Sector Enterprise is an industry wherein private entrepreneurs and a Government jointly participate in ownership, control, and management. Economic activities, such as the production and distribution of goods and services, take place broadly in 4 sectors, namely public sector, private sector, joint sector, and cooperative sector. Examples of some joint sector industries – Oil India Limited, Cochin Refineries, Tamil Nadu Fluorine & Allied Chemicals Limited.

Q69. What is the difference between a debit card and a credit card?

- A. Debit cards are used for online transactions, while credit cards are used for in-person purchases.
- B. Credit cards require a PIN, while debit cards require a signature.
- C. Debit cards withdraw money directly from a bank account, while credit cards allow borrowing up to a certain limit.**
- D. Debit cards have higher interest rates than credit cards.

Solution: Debit cards (Plastic Money) and credit cards look nearly identical, and both can give a fast and convenient way to pay – no matter whether you're paying in person, online or over the phone. Using a debit card is like using cash in hand, as you can spend only what you have. But credit cards come with a credit limit that is not dependent on your bank balance.

Q70. Which of the following is the instrument of monetary policy used by the RBI?

- A. Base rate
- B. Call rate
- C. Bank rate**
- D. Discount rate

Solution: Bank rate – It is the rate charged by the central bank for lending funds to commercial banks. Monetary Policy is a set of tools used by the Reserve Bank of India to control the overall money supply and promote economic growth. Tools of monetary policy: Repo Rate, Reverse Repo Rate, Open Market Operations, Bank Rate, cash reserve ratio (CRR),

Statutory Liquidity Ratio (SLR).

Q71. Which of the following is NOT a capital expenditure for the central government?

- A. Loan to state government
- B. Improvement of fixed assets
- C. Salaries and old-age pensions**
- D. Construction of roads and bridges

Solution: Salaries and old-age pensions. The Capital expenditure is an expense that creates permanent assets and yields regular income for the government. Capital expenditure is defined by the Union government as money spent on the acquisition of assets such as buildings, land, machinery, and equipment, as well as stock investments.

Q72. In which year was NABARD established?

- A. 1979
- B. 1982**
- C. 1981
- D. 1978

Solution: 1982, NABARD was established on the recommendations of B. Sivaraman Committee, (by Act 61, 1981 of Parliament) on 12 July 1982 to implement the National Bank for Agriculture and Rural Development Act 1981.

Q73. Which of the following is NOT the component of the capital expenditure of the Government?

- A. Expenditure on the acquisition of machinery
- B. Expenditure on the acquisition of land
- C. Expenditure on the acquisition of building
- D. Interest payments**

Solution: Interest Payments. Expenditure incurred on normal running of the government departments and maintenance of services is treated as revenue expenditure. e.g., salaries of employees, interest payment on past debt, subsidies, pension, etc. An expenditure which either creates an asset (e.g., school building) or reduces liability (e.g., repayment of loan) is called capital expenditure. The differences between capital expenditures and revenue expenditures include whether the purchases will be used over the long-term or short-term.

Q74. Who among the following publishes the Economic Survey of India?

- A. Ministry of Finance**
- B. Indian Statistical Institute
- C. National Development Council
- D. Institute of finance

Solution: Ministry of Finance, Economic survey of India is published by the Ministry of Finance. The Department of Economic Affairs, Ministry of Finance presents the survey in parliament every year, just before the union budget.

Q75. Gross primary deficit can be expressed as _____.

- A. Gross fiscal deficit – Net interest liabilities**
- B. Capital expenditure – Revenue deficit
- C. Gross fiscal deficit + Net interest liabilities
- D. Revenue deficit + Capital expenditure

Solution: Gross primary deficit = Gross fiscal deficit – Net interest liabilities. Gross fiscal deficit = Total expenditure – (Revenue receipts + Non-debt creating capital receipts). Revenue deficit = Revenue expenditure – Revenue receipts.

Primary Deficit = Fiscal deficit – Interest payments. Fiscal deficit = Revenue expenditure + Capital expenditure – Revenue receipts – Capital receipts

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